

**IN THE UNITED STATES DISTRICT COURT  
FOR THE DISTRICT OF COLORADO**

Civil Action No. 2009-cv-\_\_\_\_\_

CROSS CONTINENT DEVELOPMENT, LLC,  
a Colorado limited liability corporation

Plaintiff,

and

TOWN OF AKRON, Colorado,  
a Colorado municipal corporation;  
THE AKRON TOWN COUNCIL;  
CARL S. McGUIRE II, Esq., in his official capacity  
as Attorney for the Town of Akron;  
THE BOARD OF TRUSTEES OF THE TOWN OF AKRON; and  
THE COLORADO PLAINS REGIONAL AIRPORT  
DEVELOPMENT COMMITTEE,

Defendants.

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**COMPLAINT**

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The Plaintiff, Cross Continent Development, LLC ("CCD"), by and through its attorneys,  
McELROY, DEUTSCH, MULVANEY & CARPENTER, LLP, for its Complaint against the Defendants  
above, submits the following:

### **JURISDICTION AND VENUE**

1. The Court has jurisdiction of this case under: 28 U.S.C. §§ 1331, 1343(a)(1) and (a)(3), 42 U.S.C. §§ 1983, and 42 U.S.C. § 1988. The Court has supplemental jurisdiction over the Plaintiff's state law claims under 28 U.S.C. § 1367(a).

2. Venue is proper under 28 U.S.C. § 1391(b) because all Defendants reside within the Colorado federal judicial district, and all claims asserted by the Plaintiff arose within this federal judicial district.

### **PARTIES**

3. Cross Continent Development, LLC is a limited liability corporation formed under the laws of the State of Colorado.

4. The Town of Akron is a municipality formed and existing under the laws of the State of Colorado. All actions undertaken by the Town of Akron as described in the Complaint were committed under color of state law.

5. The Akron Town Council is a duly elected legislative body of the Town of Akron, Colorado. All actions undertaken by the Akron Town Council as described in the Complaint were committed under color of state law. The policies and customs of the Akron Town Council played a part in the Akron Town Council's violations of law described in the Complaint.

6. Upon information and belief, Defendant Carl S. McGuire II is the Town Attorney for the Town of Akron and resides in Washington County, Colorado. All actions undertaken by Carl S. McGuire as described in the Complaint were committed under color of state law. The policies and customs of the Town of Akron and its political subdivisions played a part in Defendant McGuire's violations of law alleged in this Complaint.

7. Upon information and belief, the Board of Trustees of the Town of Akron consists of five duly elected trustees and the Town of Akron's Mayor, and is charged with adopting policies, resolutions and ordinances of the Town of Akron. The policies and customs of the Board of Trustees of the Town of Akron played a part in the Board of Trustees violations of law described in the complaint. All actions undertaken by the Akron Board of Trustees were committed under color of state law.

8. Upon information and belief, the Colorado Plains Regional Airport Development Committee ("Airport Development Committee") is a Committee formed by the Town of Akron, Colorado to oversee the development of the Colorado Plains Regional Airport and make recommendations to the Town Council and Mayor regarding the Airport. All actions undertaken by the Airport Development Committee as described in the Complaint were committed under color of state law. The policies and customs of the Town of Akron played a part in Defendant Airport Development Committee's violations of law alleged in the Complaint.

### **GENERAL ALLEGATIONS**

9. The Town of Akron owns property known as the Colorado Plains Regional Airport ("Airport"). The Airport includes developable land primarily to the northeast of, and contiguous and adjacent, to the runways and taxiways ("Developable Property").

10. Plaintiff CCD is a limited liability company that was formed to develop the Developable Property.

11. On May 10, 2006, CCD and the Town of Akron entered into a Lease Agreement ("Lease"), a copy of which is attached as **Exhibit 1**. Under the Lease, CCD leased the Developable Property specified in Exhibit A of the Lease ("Leased Land") from the Town of

Akron. CCD leased the Leased Land from the Town of Akron in order to develop it in accordance with the provisions of the Lease and in lieu of paying cash rent for the Leased Land.

12. In May of 2006, the members of CCD were John ("Jack") Kay, Randall ("Randy") Hayes ("Hayes") and Richard Kusel. After execution of the Lease, CCD arranged for the purchase of Randy Hayes' interest in CCD for more than \$140,000.00. Hayes is currently the Town of Akron's contract Airport Manager, and the owner and operator of the Airport's sole Fixed Base Operator ("FBO").

13. Under Paragraph 1 of the Lease, the parties agreed that CCD would have the exclusive use and occupancy of the Leased Land.

14. Under Paragraph 7 of the Lease, the Town of Akron guaranteed to CCD the peaceful and quiet occupancy and enjoyment of the Leased Land.

15. Under Paragraph 2 of the Lease, the initial term of the Lease was forty-nine (49) years commencing on the Lease's effective date of May 10, 2006. The Town of Akron also granted CCD five additional ten-year extension options (collectively, "Options"), totaling an additional fifty (50) years.

16. Under Paragraph 5 of the Lease, CCD's primary obligation was to develop the Leased Land for the benefit of the Town of Akron, but without any cost or financial obligation to the Town of Akron. CCD was obligated to prepare a comprehensive plan for the development of the Leased Land, and to submit that plan to the Town of Akron no later than December 31, 2008. Before CCD could have been allowed to commence development construction, the Town of Akron was required to review the development plan, ask questions about it, make suggestions on it and grant final approval of it, or any phase of it. The Town of Akron agreed that its approval

would not be unreasonably withheld or delayed. The parties agreed that over the term of the Lease and the Options circumstances could change, and that revisions and changes would be made to the development plan as the Lease progressed.

17. Under paragraph 26 of the Lease, the parties agreed that time would be of the essence in implementing the terms of the Lease. Some of the Lease terms related to the development of the Leased Land. Consequently, CCD sought to enter into, as quickly as possible, arrangements with investors and subleasees to commence the construction of commercial buildings and other improvements on the Leased Land.

18. Under Paragraph 5 of the Lease, building and improvement construction would have to commence no later than the year 2009.

19. Under Paragraph 21 of the Lease headed "Default".

**Default.** A default shall occur if either Party hereto materially violates any provision of this Lease and, such violation continues without cure for a period of at least one year after the receipt by the defaulting Party or written notice from the other Party of the existence of such breach and the obligation of the defaulting Party to cure such a breach. A default by either Party includes any failure to approve and implement the Development Plan. A condition by a Sublessee of the Lessee that constitutes a default under this Lease shall be considered a default by the Lessee for which the Town may demand cure. Upon an uncured default by the Lessee, the Town may, at its option, terminate this Lease and/or recover damages for any losses suffered by it. Upon an uncured default by the Town, the Lessee may, at its option, terminate the Lease and/or recover damages for any losses suffered by it and its Sublessees.

20. On November 3, 2008, CCD presented its development plan to the Town of Akron. CCD's plan incorporated feedback from numerous draft development plans that had been reviewed by and commented on by the Town of Akron. The plan was comprehensive, incorporated the Town of Akron's previous suggestions and corrections, and complied with and satisfied all material elements required of CCD under the terms of the Lease. The Town of

Akron informed CCD that CCD would receive still more feedback on the development plan within a week or two of the presentation date. Between the November 3, 2008 presentation date and January 5, 2009, when the Town of Akron terminated the Lease, no feedback was received from the Town of Akron, no Defendant either raised any concerns with, or posed any questions to, CCD regarding the development plan CCD presented. Prior to January 5, 2009, no Defendant gave notice of or raised any issue related to a Lease breach by CCD.

21. In December of 2008, CCD and Pacific Commercial Construction, Inc. ("PCC") reached terms on a sublease ("Sublease") under which PCC would sublease the Leased Land from CCD in order to undertake construction and development of facilities, hangar space and commercial facilities. Under the terms of the Sublease, CCD and PCC agreed:

- a. that PCC would build at least 50,000 square feet per year of hangar space, FBO facilities and other related buildings during each of the first five years of the Sublease, and not fewer than 350,000 square feet during the first five years of the Sublease;
- b. that PCC would begin paying rent in the sixty-first month of the Sublease at the rate of \$61,000 per month, with step-ups to be negotiated. The \$61,000 per month and step-ups were to be in January 2009 dollars adjusted by the Denver CPI;
- c. that all triple net charges from the commencement of the Sublease would be the responsibility of PCC; and
- d. that the term of the Sublease was to be the balance of the forty-nine year Lease plus Options.

22. PCC and CCD agreed to formalize this understanding during the first week of January of 2009.

23. CCD projected to earn more than \$60 million from the Sublease with PCC over the balance of CCD's forty-nine year Lease plus Options.

24. On January 5, 2009, the Town of Akron, through its attorney, Carl A. McGuire II ("McGuire"), delivered a letter to CCD terminating the Lease for the reasons provided in the letter. Upon information and belief, the decision to terminate the Lease was jointly made by McGuire and all co-Defendants. The Town of Akron unlawfully terminated the Lease without giving prior notice of default or providing the required one-year cure period during which CCD could have remedied any perceived default as provided under Paragraph 21 of the Lease. The Town of Akron's termination notice, and the then-concurrently provided reasons for terminating the Lease, are baseless and resulted in a violation of CCD's common law and rights under the United States Constitution. The termination of the Lease is a wrongful act that constitutes a wrongful eviction of CCD from the premises.

25. The Town of Akron's termination of CCD's forty-nine year Lease plus Options was arbitrary, capricious and made in bad faith. The Town of Akron's bad faith is reflected by, among things, the following:

- a. On January 5, 2009, at an Akron Town Council meeting, Defendant McGuire, after having publicly acknowledged that the Lease contained a one year cure period, when asked by a council member as to what would happen should CCD not accept the

termination of the lease by the Town, stated “that sets us up for the next violation”.

- b. On July 1, 2004, former CCD member Randall Hayes was hired on a contract basis by the Town of Akron as Airport Manager even though he owned and operated, and continues to own and operate, the Airport’s sole FBO. Hayes’ FBO operations are, in part, located on and require the use of the Leased Land for which Hayes has no lease and pays no rent. Hayes, in his capacity as Airport Manager, frequently advised the Airport Development Committee and the Akron Town Council on matters related to the Airport, and the potential implications of CCD’s activities on the Airport and the Town of Akron. Hayes also counseled the Town of Akron on its responses to CCD. The Town of Akron knew that Hayes was conflicted because Hayes had an economic interest in preventing CCD, as part of its development of the Leased Land, from both causing Hayes to have to pay fair market value for his use of the Leased Land and having CCD create its own FBO that would compete with Hayes’ FBO.
- c. On March 6, 2000, the Town of Akron leased one hangar to an entity known as Aero-Spray, Inc. (“Aero-Spray”). Aero-Spray is a company located in Yuma, Colorado and is engaged in the business of crop planting, cultivating and crop dusting services.



As a result of the Lease between the Town of Akron and CCD, the Town of Akron assigned this lease to CCD (“Assigned Lease”). According to the lease between Aero-Spray and the Town of Akron, Aero-Spray leased a single hangar – Space 12. In actuality, Aero-Spray leased four or more hangars from the Town of Akron. The Town of Akron deliberately withheld that information from CCD thereby depriving CCD of its right under the Lease to generate income and profits from those additional spaces and its obligations under the Lease to be responsible for those spaces. Immediately after the Town of Akron terminated the Lease, Aero-Spray requested that the Town of Akron permit it to assign Space 5 to Phillip Sims and Spaces 6, 7, and 12 to Kyle Scott. The Akron Town Council agreed to those assignments within 30 days after the Town of Akron’s Lease termination, subject only to Defendant McGuire’s drafting the lease assignment and final approval. The foregoing further reflects the Town of Akron’s conscious decision not to allow CCD to cure any perceived defaults under the Lease, to deprive CCD of its right under the Lease to generate income and profits, and to protect the Town of Akron’s friends and favorite sons.

d. On November 17, 2008 and December 17, 2008, as part of its obligations under the Lease with the Town of Akron, CCD

twice requested that Aero-Spray provide what are known as Material Safety Data Sheets (“MSDS”). Federal regulations under the Occupational Safety and Health Administration require that MSDSs be maintained and made available to employees at worksites where hazardous materials are stored and maintained. Under both the Lease and the Assigned Lease, CCD had the right to demand and Aero-Spray had the obligation to supply to CCD MSDSs for all periods during Aero-Spray’s occupancy of the Leased Land. CCD suspected that Aero-Spray did not maintain MSDSs as a result of Aero-Spray’s failure to respond to CCD’s letters concerning that issue. Upon information and belief, the Town of Akron’s decision to terminate the Lease was motivated, at least in part, by Aero-Spray’s violation of OSHA and Aero-Spray’s undue influence over the Town of Akron’s decisions with respect to the Lease with CCD.

26. In early 2009, after receiving notification that the Town of Akron had unlawfully terminated CCD’s Lease with the Town of Akron, PCC notified CCD that it would not proceed to enter into the Sublease with CCD. PCC’s decision not to execute the Sublease with CCD is a direct result and consequence of the Town of Akron’s unreasonable, unlawful, and wrongful actions.

27. As a result of the Town of Akron’s wrongful acts, CCD has suffered damages to its constitutionally protected property interests and has suffered lost income and profits.

**FIRST CLAIM FOR RELIEF**

**(Violation of CCD's Substantive Due Process Rights  
Under 42 U.S.C. § 1983 and the 14<sup>th</sup> Amendment to the U.S. Constitution –  
All Defendants)**

28. Beginning in May of 2006, CCD had a constitutionally protected property interest in the Leased Land.

29. The Town of Akron's decision to wrongfully evict CCD from the Leased Land was made without due process of law and was a wrongful act that deprived CCD of a constitutionally protected property and liberty interests.

30. The Town of Akron's decisions were made in a wrongful, arbitrary and irrational manner. The Town of Akron and the individual Defendants provided no opportunity to CCD to discuss and rectify any issues or problems with the Development Plan. The wrongful eviction by the Town of Akron and its agents constitutes an arbitrary and irrational deprivation to CCD of its independent constitutionally protected property rights.

31. The decisions of the Town of Akron and its wrongful acts were made and undertaken with the knowledge and acquiescence of the Town of Akron's Board of Trustees, the Town of Akron's Attorney and the Airport Development Committee. Those Defendants were aware that the Town of Akron's decision and motive was improper, but nonetheless ratified it.

32. CCD has suffered damages to, and loss of use of, its constitutionally protected property rights in amounts to be determined at trial.

**SECOND CLAIM FOR RELIEF**

**(Violation of CCD's Rights to Procedural Due Process  
Under 42 U.S.C. § 1983 and Under the 14<sup>th</sup> Amendment to the U.S. Constitution –  
All Defendants)**

33. CCD had a vested property interest in the Leased Land to which the due process protections of the United States Constitution are applicable.

34. Because the Defendants' wrongful acts and wrongful eviction provided CCD with no opportunity to address any perceived defaults, CCD was not afforded an appropriate level of due process.

35. The unlawful and wrongful acts by the Defendants constitute and resulted in a deprivation of CCD's constitutionally protected property rights, and the deprivation of those independent rights and due process rights occurred without due process of law.

36. As a result of the Defendants' violation of CCD's constitutionally protected property rights, CCD has suffered damages, and loss of use of those rights and property interests in amounts to be determined at trial.

**THIRD CLAIM FOR RELIEF**

**(Unlawful Taking  
Under 5<sup>th</sup> and 14<sup>th</sup> Amendments to the U.S. Constitution and 42 U.S.C. § 1983 –  
All Defendants)**

37. The actions of the Town of Akron and the Defendants described above constitute an unlawful taking of private property for public use without just compensation.

38. CCD is entitled to adequate compensation for the Town of Akron's unlawful and unconstitutional taking of its vested property rights under the forty-nine year Lease plus Options in amounts to be determined at trial.

**FOURTH CLAIM FOR RELIEF**  
**(Breach of Contract – Town of Akron)**

39. All prior allegations are incorporated herein.

40. The action of the Town of Akron in unlawfully terminating the Lease with CCD constitutes a breach of contract by the Town of Akron.

41. CCD has incurred damages as a result of that breach in amounts to be determined at trial.

**FIFTH CLAIM FOR RELIEF**  
**(Breach of Duty of Good Faith and Fair Dealing – Town of Akron)**

42. All prior allegations are incorporated herein.

43. All contracts in Colorado contain an implied obligation of good faith and fair dealing.

44. The Lease between CCD and the Town of Akron states that the Town of Akron's approval of CCD's development plan "shall not be unreasonably withheld."

45. The Town of Akron's decision to terminate the Lease without providing CCD an opportunity to cure any perceived defaults constitutes a breach of the Town of Akron's duty of good faith and fair dealing with respect to its enforcement of its rights and obligations under the Lease.

46. CCD has suffered damages as a result of the Town of Akron's breach of duty of good faith and fair dealing in amounts to be determined at trial.

WHEREFORE, Plaintiff, Cross Continental Development, LLC requests that this Court enter judgment in its favor on all claims for relief asserted by the Plaintiff and award the Plaintiff its costs and attorneys fees in this matter.

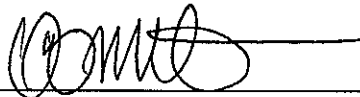
**JURY DEMAND**

The Plaintiff demands a trial by jury on all issues so triable.

Dated this 9<sup>th</sup> day of October, 2009.

Respectfully submitted:

McELROY, DEUTSCH, MULVANEY & CARPENTER, LLP

By: \_\_\_\_\_

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